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WS Global CIO Office
3 July 2026

Weekly Market View

Peak hawkishness?

→ The reopening of the Strait of Hormuz could mark a turning point for the global monetary cycle. With US crude oil back below USD 70/bbl, the energy-inflation threat has likely faded, allowing central banks to stay patient.

→ Lower oil prices have dragged inflation expectations and long-term bond yields lower in the US and Europe since their peak in May, unwinding much of the recent hawkish repricing. Softer US payrolls data for June has pushed back expectations of Fed rate hikes.

→ This backdrop should lead to a consolidation in the USD and support global equities, particularly the rate-sensitive tech sector, and gold.

→ Equities in Asia ex-Japan, especially oil importers such as China and India, should benefit from the pullback in oil prices. Meanwhile, as global reflation broadens, volatile currencies such as AUD should benefit.

Tactically bullish on US tech: Attractive valuation after H1 underperformance

Bullish AUD: Moderating USD, strong Australian domestic fundamentals

USD/JPY downside: Bank of Japan intervention risk

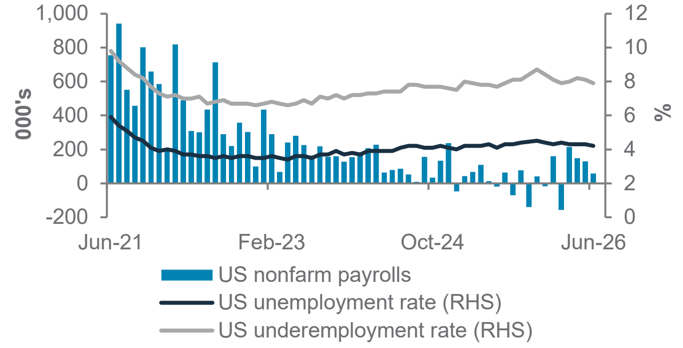
Important disclosures can be found in the Disclosures Appendix.

Charts of the week: Tightening financial conditions

Flattening of the US bond yield curve suggests the recent spike in short-term rates hurt long-term growth expectations

US 10 year vs. 2-year government bond yield spread

US non-farm payrolls; unemployment & underemployment rates



Source: Bloomberg, FactSet, Standard Chartered

Editorial

Peak hawkishness?

Strategy summary: The Strait of Hormuz reopening could mark a turning point for the global monetary cycle. With US crude oil back below USD 70/bbl, the energy-inflation threat has likely faded, allowing central banks to stay patient. Lower oil prices have dragged inflation expectations and long-term bond yields lower in the US and Europe since their peak in May, unwinding much of the hawkish repricing. Softer US payrolls data for June has pushed back expectations of Fed rate hikes.

This backdrop should lead to a consolidation in the USD and support global equities, particularly rate-sensitive tech sector. Equities in Asia ex-Japan, especially oil importers such as China and India, should benefit from the pullback in oil prices.

A turn in the global cycle? At this week's ECB Forum, Fed Chair Warsh pointed to lower bond yields as evidence that markets are pricing lower inflation as oil falls. ECB President Lagarde also said inflation and growth risks were more balanced after last month's hike. The message is clear: lower oil is already changing the policy outlook. With Hormuz shipping traffic only a quarter of pre-conflict levels, further normalisation should reinforce a more benign inflation backdrop.

Soft US jobs report eases pressure on the Fed to hike. June US non-farm payrolls missed consensus by half. Most of the job gains were concentrated in education and health services, reversing a broadening trend in prior months. Wage growth held steady at 0.3% m/m (3.5% y/y), keeping inflation pressures contained. The report challenges the market's narrative of an imminent Fed rate hike, pushing market expectations of a hike to December. We remain sceptical the Fed hikes at all this year as inflation pressures ease with the recent drop in oil prices. We also expect the ECB to hold rates through year-end.

Central bank outlook shifting. The relief is visible across other major central banks, except Japan. Most are now set to stay on hold, creating a lower rate-volatility environment. The RBA has turned neutral after three hikes this year, while weak Swiss growth and subdued inflation argue against further tightening. Even BoE Governor Bailey, while not ruling out a hike against energy price risks, left open a return to easing. The BoJ, driven by wage growth, remains the clear hawkish outlier.

Did Warsh's debut signal peak hawkishness? In the US, peak Fed hawkishness may already have passed. The roughly +90bps repricing since the Iran War reflected higher neutral-rate expectations and fears of a hawkish Warsh-led Fed. Yet, after a hawkish debut two weeks ago, Warsh this week cited lower inflation expectations as a reason long-term yields had fallen. If inflation keeps easing, as we expect, he is likely to persuade his fellow policymakers to hold rates through year-end. A coming methodology change by the Bureau of Economic Analysis to software prices and portfolio-services costs could also cut core PCE inflation, the Fed's preferred gauge, by Q4.

Peak bond yields and USD? If central bank hawkishness has peaked, bond yields should further ease. We see value in 3-5-year US bond yields in a stable Fed-rate world, while stretched short investor positioning in 10-year bonds points to easing back into the 4.25-4.5% yield corridor. Peak Fed hawkishness also implies USD consolidation, especially with investor positioning stretched, and support gold. As global reflation broadens, volatile currencies such as AUD should benefit.

This backdrop supports global equities. Lower oil prices return purchasing power to consumers and supports the AI-driven wealth effect. This favours Asia ex-Japan equities, helped by expected double-digit earnings growth, and the rate-sensitive technology sector in the US and Asia ex-Japan.

Risks: The above views depend on oil staying low and inflation cooling. If US inflation remains elevated on a stronger labour market, the Fed would be forced to tighten. AI could also prove inflationary rather than deflationary, at least in the near term, justifying higher rates. A hawkish Warsh U-turn, echoing former Fed Chair Alan Greenspan in 2000, could challenge the AI-led equity bull market. Finally, the fragile US-Iran ceasefire could collapse after the US mid-term elections in November, lifting oil prices sharply. We therefore stay diversified and hedge geopolitical risk through gold and alternatives.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as positive for risk assets in the near-term

(+) factors: Easing Euro area inflation, robust China activity

(-) factors: Softening US payrolls, manufacturing data; escalating country-specific trade tensions

	Positive for risk assets	Negative for risk assets
Macro data	• US job openings were resilient at 7.6mn in May, beating expectations • Euro area headline and core inflation in June missed expectations • Euro economic confidence came in above estimates • China mfg. and non-mfg. PMI beat estimates in June • China industrial profits rose 21.1% y/y in May	• US added 57,000 non-farm payrolls in June, missing estimates by half; May's payrolls were revised lower • US private payrolls rose less than expected by 98,000 in June • US ISM manufacturing and new orders PMIs fell more than expected in June, while prices paid dropped • US Conference Board consumer confidence index missed in June
	Our assessment: Neutral – Easing Euro area inflation vs. slower US jobs creation	
Policy developments	• Fed Chair Warsh declined to commit to a rate hike • ECB's Kazaks and Demarco said central bank should avoid rushing into further interest rate hikes • BoE Governor Bailey said no rush to hike rates	• Fed's Kashkari has shifted his year-end rate call from one cut to one hike, citing the inflation spike
	Our assessment: Positive – Potential central banks pause	
Other developments	• Korea announced plans for three mega projects to develop new chip production hubs, data centres and robotics technology	• President Trump warned of 100% tariff on any country that levies a digital services tax on US firms • The US decided against renewing its trade deal with Canada and Mexico • China added 20 more Japanese firms to its export control blacklist
	Our assessment: Negative – Escalating country-specific trade tensions	

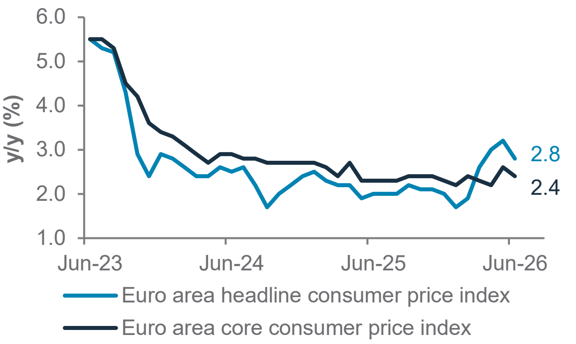
US ISM manufacturing PMI eased in June, while the prices paid component dropped sharply, indicating lower cost pressures

US ISM manufacturing PMI and its key sub-indices

Source: Bloomberg, Standard Chartered

Euro area inflation missed estimates in June, easing ECB rate hike expectations

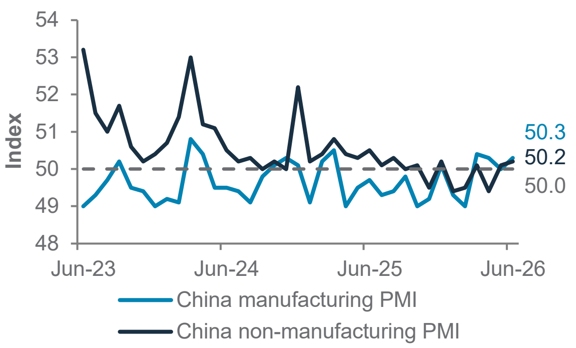
Euro area headline and core consumer price index



Source: Bloomberg, Standard Chartered

China's June PMIs beat market expectations, driven by high-tech and AI-related export demand. Both remained in expansionary territory

China manufacturing and non-manufacturing PMI



Source: Bloomberg, Standard Chartered

Top client questions

What is behind the Magnificent Seven's ('Mag 7') recent underperformance? Is it a good time to add exposure?

Our view: We see the underperformance as an opportunity to add exposure, with a preference for diversified exposure across semiconductors, internet, hardware and software.

Rationale: The Mag 7 (seven mega-cap US stocks) have posted their **first negative H1 performance** since the AI boom began in November 2022. The group returned -1.7% over the period, lagging the S&P500 at +10.2% and the Nasdaq-100 at +20.3%.

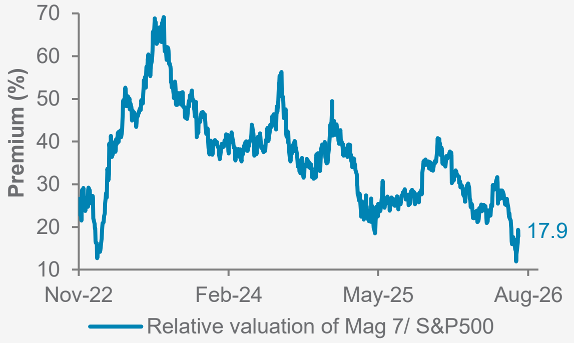
The market is now scrutinising the relationship between investment and profitability far more closely. Guidance from the cohort's members to spend hundreds of billions on **AI development** has fuelled **capex fatigue**, while equity offerings to fund the AI buildout have added further pressure on individual names. Internal dispersion has also widened materially, as investors increasingly differentiate between perceived AI-monetisation leaders. Notably, leadership in H1 2026 rotated towards **memory-related names**, where tightening supply and AI-driven demand supported stronger pricing power.

That said, we believe **recent concerns are overdone**. Set against expectations of double-digit earnings growth and meaningful monetisation upside, the backdrop remains **constructive**. Valuations have grown more compelling, which offers an **appealing entry point** into some of the market's highest-quality growth names.

— **Jason Wong,** *Senior Equity Analyst*

Valuations have become increasingly attractive, with the Magnificent Seven's valuation premium to the S&P500 falling to its lowest level since the AI boom began in November 2022

Relative 12-month forward P/E valuation premium of the Magnificent Seven and the S&P500



Source: Bloomberg, Standard Chartered

Should we add exposure to memory chip equities?

Our view: We remain constructive on memory chip equities and prefer to maintain a core allocation of around 3-4% of our global equities portfolio to the industry.

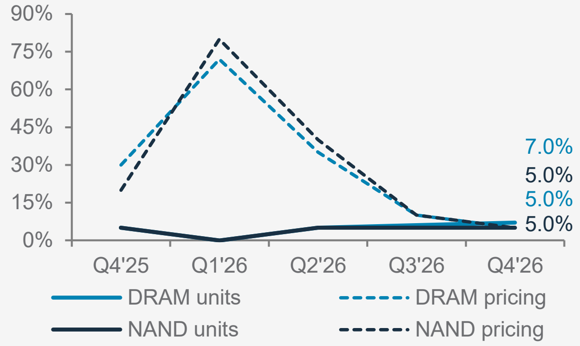
Rationale: Memory chip equities have performed phenomenally well year to date. Growing AI adoption, supply tightness in high-bandwidth memory (HBM) chips and longer-term customer commitments still support the cycle. We expect memory prices to eventually see a **soft landing** rather than a hard landing. Announced **capacity additions**, including those from South Korean chipmakers, are likely to be phased in gradually, with meaningful new supply not expected to arrive until 2027-28. At the same time, **the mix is shifting** from commodity DRAM/NAND chips towards AI-focused HBM, where pricing is often backed by long-term agreements.

However, **volatility** in memory chip equities can be extreme, with crowded positioning that can swing suddenly. An **antitrust lawsuit** has also emerged against major memory chipmakers, which could affect risk sentiment. Persistent concerns about **excess capacity** also contribute to the volatility. Tech hardware companies may try to diversify their supply chains away towards smaller suppliers. Hence, we prefer to maintain a **core exposure** to the industry.

— **Fook Hien Yap,** *Senior Investment Strategist*

Profits in the memory chip industry have been driven by significant pricing surges, although we expect an eventual soft landing in memory prices

DRAM and NAND chip unit and pricing growth estimates, quarter-on-quarter (q/q)



Source: Company reports, Standard Chartered

Top client questions (cont'd)

After the ECB's June 'insurance hike', are you maintaining your view that the ECB will remain on hold for the rest of 2026?

Our view: We maintain our view that the ECB will keep policy rates unchanged for the rest of 2026, despite its recent hawkish rhetoric and an upward revision to its inflation projections.

Rationale: We view the ECB's **25bps rate increase** on 11 June – which brought the deposit rate to 2.25% – as a **recalibration**, or an **'insurance hike'**, aimed at anchoring inflation expectations rather than marking the beginning of a prolonged tightening cycle.

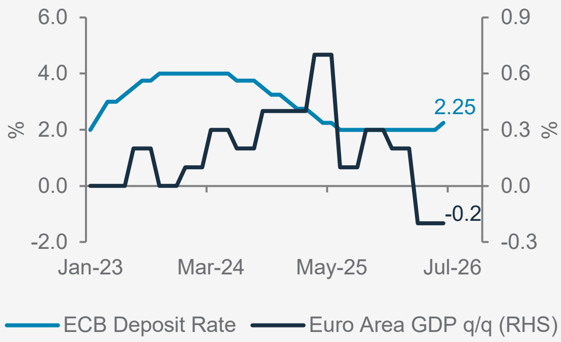
Crucially, the Euro area's **June inflation print surprised to the downside at 2.8% y/y**, falling well below both the 3% y/y market estimate and May's 3.2% y/y. This faster-than-expected moderation reinforces our view that the recent energy-driven spike was temporary and suggests that market fears over a sustained inflation resurgence were overstated. With headline inflation now back below the 3% threshold, **pressure on the ECB Governing Council to deliver a follow-up hike in September** has reduced significantly.

Simultaneously, the Euro-area economy continues to face **meaningful growth headwinds**, with Q1 GDP contracting by 0.2% q/q. Against this backdrop, additional rate hikes would increase the risk of a policy mistake similar to those in 2008 and 2011, when the ECB tightened into a weakening economy. We therefore expect the ECB to adopt a **data-dependent 'wait-and-see' approach**, allowing policymakers to assess whether temporary energy-driven inflation gives rise to more persistent second-round effects before considering any further policy tightening.

— **Anthony Naab, CFA**, *Investment Strategist*

The fundamental justification for further ECB tightening has weakened, with inflation cooling and GDP contracting

ECB deposit rate vs. Euro area GDP (q/q)



Source: Bloomberg, Standard Chartered

Do you expect both the Australian dollar (AUD) and the CNH (Offshore Chinese yuan) to sustain their uptrend against the US dollar (USD) in H2 2026?

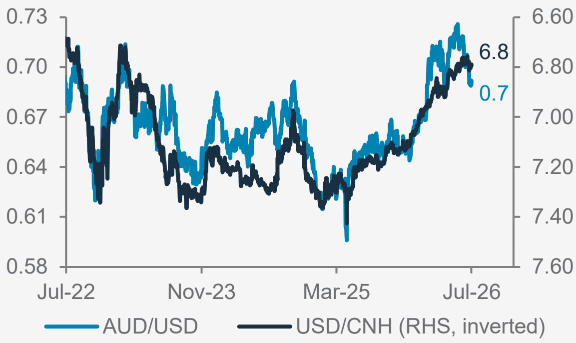
Our view: We expect both the AUD and the CNH to appreciate against the USD in H2 2026, although the pace is likely to be gradual and subject to near-term volatility.

Rationale: Our constructive view on the AUD and the CNH is driven by our expectation that **USD strength will gradually moderate** over the medium term. The sharp decline in oil prices is expected to help ease US inflation over time, thereby reducing expectations for further Fed tightening and providing a more **supportive backdrop for both the AUD and the CNH**.

We expect the AUD to benefit from **Australia's resilient economic fundamentals**. The country's labour market has remained solid, with employment rising by 40,300 in May, while the Manufacturing Purchasing Managers' Index (PMI) improved to 51.5 in June, signalling expanding activity. **Sticky inflation** should keep the RBA

AUD and CNH are likely to sustain their uptrend vs. USD

AUD/USD and USD/CNH



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

relatively cautious on policy easing. In addition, **a recovery in Chinese demand for key Australian exports**, including iron ore and copper, should provide further support for the AUD.

We remain constructive on the CNH as recent China data points to **modest economic stabilisation**. The official Manufacturing PMI returned to expansionary territory at 50.3 in June, while the non-manufacturing PMI improved to 50.2 and the composite PMI rose to 50.6. Private manufacturing data also remained resilient, with the June PMI at 51.7 and Q2 2026 marking the strongest quarterly performance since late 2020. Together, these developments, along with **continued policy support**, should help underpin the CNH over the medium term.

However, while we are constructive on both currencies, we expect the **AUD to appreciate more quickly than the CNH**, as the latter continues to face headwinds from trade tensions and uncertainty over capital flows.

— **Iris Yuen,** *Investment Strategist*

The Japanese yen (JPY) is at a four-decade low against the USD, despite rate hikes from the BoJ. Should we anticipate FX intervention soon?

Our view: We believe there is a higher bar for FX intervention now that USD/JPY has broken past the previous key psychological level of 160. Thin trading volumes today due to the US Independence Day holiday could present a more effective opportunity for Japan's Ministry of Finance (MoF), with intervention likely around 164-165.

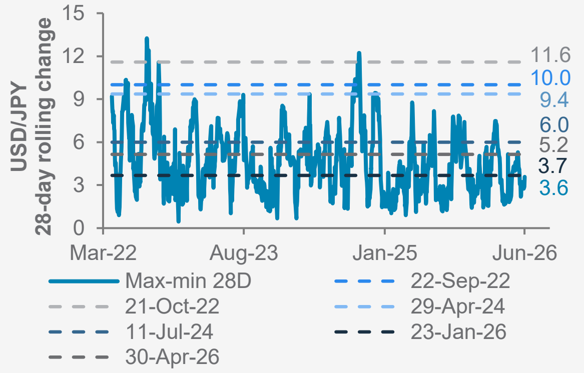
Rationale: The market is fully pricing in one Fed hike by year-end 2026 and another hike in H1 2027. While these expectations are still growing alongside resilient US inflation data, the ongoing repricing has supported **higher US government bond yields** and **wider US-Japan rate differentials**, overwhelming the impact of MoF's intervention in late April. That intervention had briefly pushed USD/JPY from around 160 to 156 before the pair resumed its climb to fresh highs above 162.

In our view, **Japanese policymakers are likely to wait for softer US inflation or labour market data** that reduces Fed hike expectations before intervening again, as such a backdrop would increase the probability of a more durable intervention effect. Looking back at previous confirmed intervention periods, the **risk of intervention is increasing**. The USD/JPY 28-day rolling change is now at +3.6, with previous intervention thresholds around 5. With spot close to 162, the **MoF may wait until the 164-165 range** before intervening.

— **Iris Yuen**, *Investment Strategist*

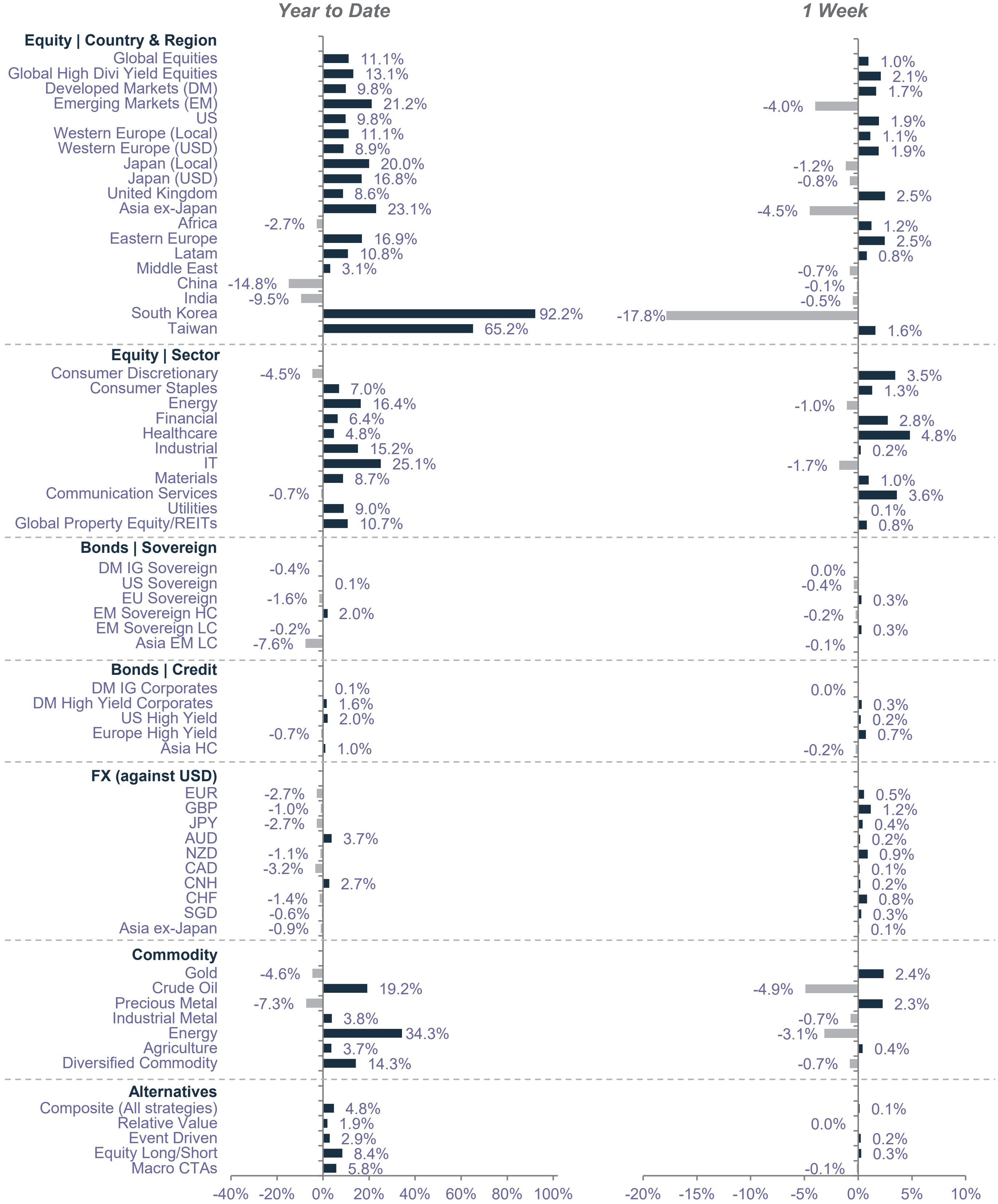
USD/JPY intervention threshold is rising modestly

USD/JPY 28-day rolling change and previous intervention dates



Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 2 July 2026; 1-week period: 25 June 2026 to 2 July 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
Bonds	▼	China Technology	▲
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	▲

Source: Standard Chartered Global Investment Committee
Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Sentix Investor Confidence	Jul	–	-13.4
	EUR	PPI y/y	May	–	4.9%
	EUR	Retail Sales y/y	May	1.6%	1.0%
	USD	ISM Services Index	Jun	54.2	54.5
TUE	USD	Trade Balance	May	-$78.8b	-$55.9b
WED	NZD	RBNZ Official Cash Rate	8-Jul	2.5%	2.3%
THU	USD	FOMC Meeting Minutes	17-Jun	–	–
	CNH	PPI y/y	Jun	–	3.9%
	CNH	CPI y/y	Jun	–	1.2%
	USD	Initial Jobless Claims	4-Jul	–	–
	USD	Continuing Claims	27-Jun	–	–
	USD	Existing Home Sales	Jun	4.24m	4.17m
FRI/ SAT					

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,657

Technical indicators for key markets as of 2 Jul close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,483	7,274	7,657	20.2	1.2
STOXX 50	6,360	6,090	6,512	15.5	3.1
FTSE 100	10,653	10,289	10,856	12.9	3.5
TOPIX	4,015	3,819	4,157	17.0	2.3
Shanghai Comp	4,029	3,913	4,160	13.5	3.0
Hang Seng	23,055	21,700	25,227	9.8	3.7
Nifty 50	24,176	23,410	24,601	18.5	1.8
MSCI Asia ex-Japan	1,114	1,064	1,184	11.8	2.1
MSCI EM	1,684	1,613	1,782	11.3	2.5
Crude oil (WTI)	68.7	58.2	88.1	na	na
Gold	4,122	3,863	4,462	na	na
UST 10Y Yield	4.48	4.37	4.59	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 2 Jul close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	●	→	1.62
Global Equities	◐	↓	1.30
Gold	◐	→	1.42
Equity			
MSCI US	◐	↓	1.29
MSCI Europe	◐	↓	1.42
MSCI AC AXJ	◐	↓	1.37
Fixed Income			
DM Corp Bond	●	→	1.60
DM High Yield	◐	↓	1.36
EM USD	◐	↓	1.45
EM Local	●	→	1.63
Asia USD	●	→	1.63
Currencies			
EUR/USD	●	→	1.62

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**
Legend: ● High | ◐ Low to mid | ○ Critically low

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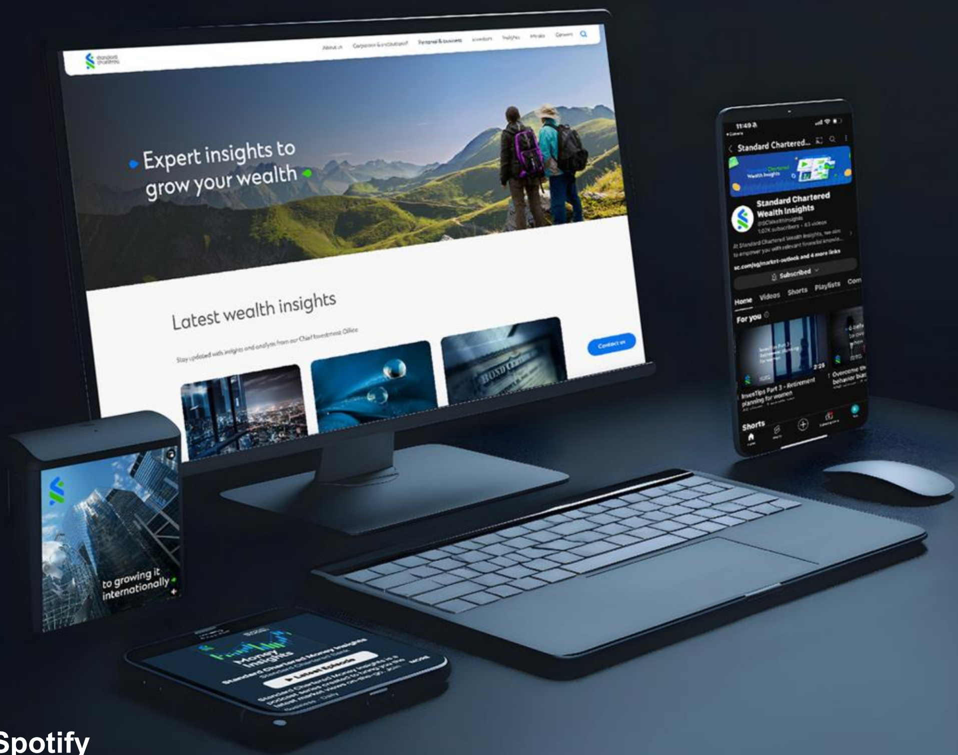

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WS Global CIO Office
26 June 2026

Weekly Market View

Deciphering Kevin Warsh

→ Through his first post-meeting briefing, Fed Chair Warsh has tightened financial conditions by focussing on lowering inflation. His comments have fuelled rate hike expectations, bolstered the dollar, and dragged down gold and equities.

→ We believe that's part of the plan. Warsh is talking tough on inflation precisely to tighten near-term financial conditions, so he does not have to eventually deliver the rate hike markets are expecting.

→ President Trump's interim deal with Iran should help. The 35% plunge in the US crude oil price from its April peak to almost pre-conflict levels should ease inflation in the coming months, allowing Warsh to hold rates this year. The US 10-year government yield has already dropped 30bps since May's peak as oil prices plunged.

→ A rate pause should cap the USD and support gold prices, while solid earnings support risk assets. Meanwhile, we continue to diversify equity exposure across regions and sectors.

Opportunities in US communications services: AI monetisation, attractive value

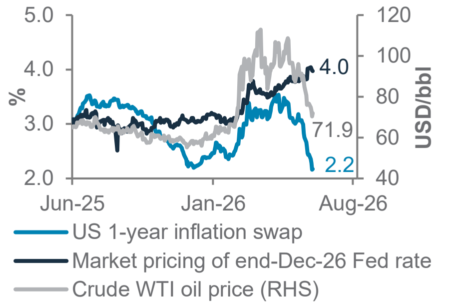
Bullish AUD bonds: Tactically bullish on AUD, attractive absolute yields

Limited USD/JPY upside: intervention risk

Charts of the week: Cooling inflation drivers and earnings upgrades

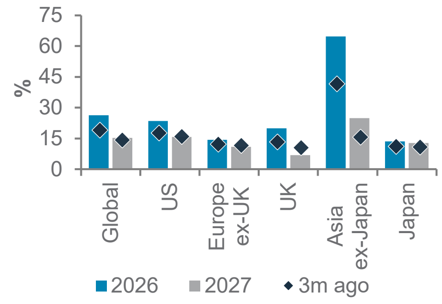
Oil price drop to cool inflation, allowing the Fed to hold rates; IPOs remain benign vs. history; earnings upgrades persist

US crude oil, 1-year inflation swap, market estimate of end-December Fed rate



US equity issuance and retirement as percentage of market capitalisation

Consensus earnings estimates for key equity markets vs. three months ago



Source: Bloomberg, FactSet, Standard Chartered

Editorial

Deciphering Kevin Warsh

Strategy summary: In his first briefing as Fed Chair, Warsh has tightened financial conditions by focussing on lowering inflation. His comments have fuelled rate hike expectations, bolstered the dollar, and dragged down gold and equities.

We believe that's part of the plan. Warsh is talking tough on inflation precisely to tighten near-term financial conditions, so he does not have to eventually deliver the rate hike markets are expecting. President Trump's interim deal with Iran should help. The 35% plunge in the US crude oil price from its April peak to almost pre-conflict levels should ease inflation in the coming months, allowing Warsh to hold rates this year. A rate pause should cap the USD and support gold prices, while solid earnings support risk assets. We continue to diversify equity exposure across regions and sectors.

Sounding hawkish: Kevin Warsh has publicly spoken only twice since President Trump appointed him as Fed Chair on 22 May. On the day of his appointment, Warsh's comments were largely ceremonial. This was in line with his avowed plan to limit Fed communications so that markets anticipate Fed policy by reading the tea leaves from data, instead of the Fed spoon-feeding markets. However, on his first outing after the Fed's policy meeting last week, he came across as an inflation buster.

Of course, he strenuously avoided giving 'forward guidance' that markets have come to expect from Fed Chairs over the past two decades. However, Warsh's singular focus on bringing down inflation back to the Fed's 2% target – something that, he reminded us, had eluded Fed policymakers for the past five years - has tightened financial conditions. US short-term bond yields have risen as Warsh's comments cemented expectations of a rate hike this year. This has jolted equity markets from a record high, while USD has broken out into a 13-month high.

Delivering less? We believe the Fed will be constrained in hiking rates this year due to the following: **a)** The sharp pullback in oil prices should help cool inflation (see chart). The latest surge in US headline inflation to a three-year high of 4.1% in May (based on the Fed's preferred personal consumption expenditure deflator) is backward looking. US headline inflation likely peaked in May and should fall in the coming quarters. The US 10-year bond yield has already dropped 30bps from May's peak as inflation expectations slumped with lower oil prices; **b)** the US job market is showing signs of softening again, with both initial and continuing jobless claims rebounding; **c)** Warsh believes AI will boost productivity, dampening wage growth, the primary driver of services inflation; and **d)** the November mid-term elections sets a high bar for a rate hike, especially with President Trump publicly calling for rate cuts at least twice since Warsh's appointment. Given the constraints against a rate hike, we see limited USD upside (especially with extremely stretched bullish USD positioning) and limited gold downside from here.

The risk scenario: As Warsh has signalled, incoming data is likely to guide Fed policy. The main risk to our core scenario of a Fed rate pause is an acceleration in US growth beyond the temporary summertime and World Cup-fuelled demand boost. This week's purchasing managers' indices showed US business sentiment continued to improve and outstrip those in Europe and Japan. A widening gap could continue to support the USD. Meanwhile, any signs of US growth and job creation accelerating – despite the negative impact of AI already seen on finance and IT sector jobs – would set the stage for a rate hike. Such a hike, while not our base case, alongside solid corporate earnings, should continue to support risk assets.

Broadening risk exposure: Near-term challenges remain, including a hawkish Fed, still-elevated investor positioning, and flood of IPOs. However, corporate earnings continue to be upgraded in our two preferred equity markets – the US and Asia ex-Japan (see chart). Meanwhile, the supply of IPOs relative to US market cap remains historically low despite the large dollar amounts being raised (see chart). We continue to diversify regional exposure beyond the US and into Asia ex-Japan. Within the tech sector, we go beyond semiconductors and into communications services in both the US and China. Apart from the tech sector, we go into healthcare in the US, financials and industrials in the Euro area, and financials in Japan.

— **Rajat Bhattacharya**

The weekly macro balance sheet

Our weekly net assessment: On balance, we see the past week's data and policy as positive for risk assets in the near-term

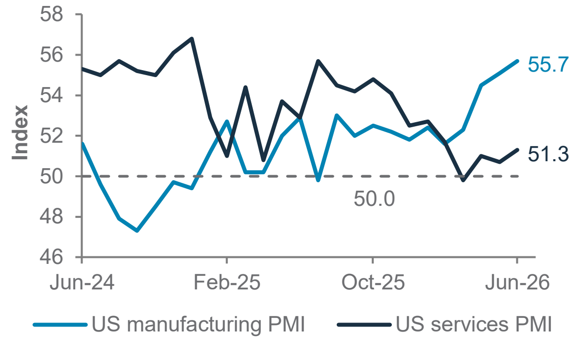
(+) factors: Robust US activity; easing geopolitical uncertainty

(-) factors: Softening US new home sales; hawkish BoJ

	Positive for risk assets	Negative for risk assets
Macro data	• US manufacturing and services PMI rose more than expected to 55.7 and 51.3 respectively • US durable goods orders fell less than expected by 4.5% m/m in May • US PCE inflation missed estimates m/m, but rose to a 3-year high in y/y terms • Euro area services PMI rose more than expected to 48.9 in June • Germany Ifo Business Climate index and current assessment beat expectations in June	• US new home sales fell more the expected in May • Euro area manufacturing PMI fell unexpectedly in June to 51.3
	Our assessment: Positive – Stronger-than-expected US activity vs. softening US new home sales	
Policy developments	• People's Bank of China committee member hinted at potential rate cut in 2026 • RBI Governor said a rate hike is premature, emphasizing the central bank's cautious, data-dependent approach	• BOJ Governor Ueda said Japan risks inflation above 2% and affirmed that further rate hike is needed
	Our assessment: Neutral – Potential PBoC rate cut vs. hawkish BoJ	
Other developments	• US and Iran agreed on a roadmap toward a final deal within 60 days	• US launched tariff probe into Germany over pharma pricing • The European Union and three of its member states joined a US-led coalition to reduce reliance on Chinese AI supply chains
	Our assessment: Positive – Easing US-Iran tensions	

US manufacturing PMI increased in June to its highest level since May 2022, while services PMI beat expectations and remained expansionary

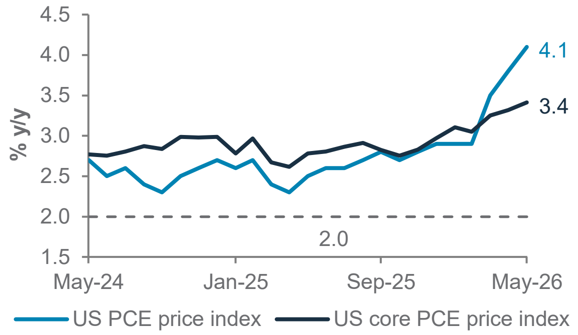
US manufacturing and services PMI



Source: Bloomberg, Standard Chartered

US PCE inflation rose to 4.1% in May as expected, marking the highest level since April 2023; we believe inflation peaked in May as oil prices fall

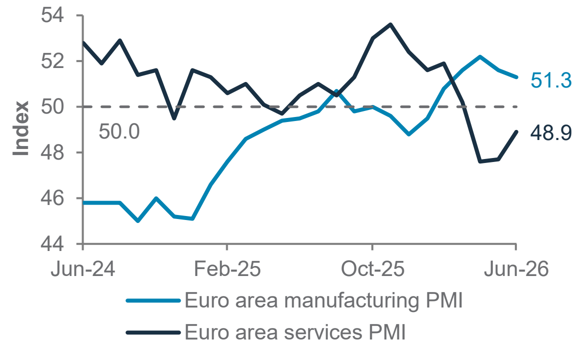
US headline and core PCE inflation



Source: Bloomberg, Standard Chartered

Euro area manufacturing PMI fell to a four-month low, but remained expansionary, while services PMI improved but remained in contraction

Euro area manufacturing and services PMI



Source: Bloomberg, Standard Chartered

Top client questions

Does the recent wave of large-scale debt financing by mega tech companies to fund AI capital expenditure (capex) challenge your positive stance on US equities?

Our view: We maintain our constructive stance on technology and see select buying opportunities in US communication services.

Rationale: Debt-financed AI capex has weighed on risk sentiment recently. Major cloud and AI platform companies' **free cash flow (FCF) fell by 20%** in 2025 and is expected to fall further in 2026 due to the significant rise in AI capex. However, large-cap technology companies' core fundamentals, including their balance sheets, remain healthy. Across big names, **debt-to-equity ratios** remain relatively modest at around 0.43x, as of the latest reported quarter. This explains why **markets remain receptive to hyperscalers' debt issuance** despite ongoing FCF pressures.

As AI monetisation scales, cash generation should recover. The direction of travel is encouraging; hyperscalers' projections show the gap between revenue and capex narrowing significantly over the next few years. We recently initiated an **Opportunistic idea in US communication services** – a sector dominated by internet platforms poised to benefit from rising AI monetisation. Meanwhile, valuations have become more attractive after the recent correction, providing an attractive entry point.

— **Jason Wong,** *Senior Equity Analyst*

US communication services valuations have become more attractive after the recent correction, providing an attractive entry point

12-month forward P/E of the MSCI US Communication Services Index

Source: FactSet, Standard Chartered

How much of the earnings strength within Asia ex-Japan (AxJ) is driven by the technology sector or specific markets?

Our view: We estimate that around 80% of AxJ's 2026 earnings growth is driven by the technology sector. We are Overweight AxJ equities as we remain constructive on its technology-driven growth and see it broadening in 2027.

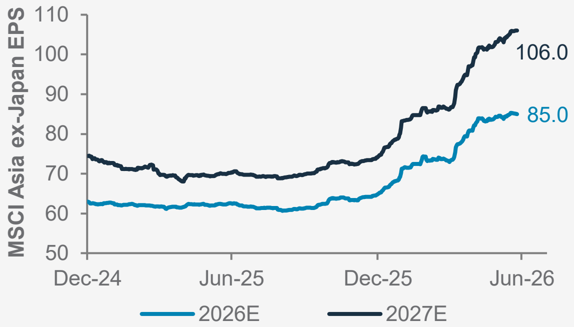
Rationale: FactSet consensus points to MSCI AxJ earnings growing around 65% in 2026, the highest among major regions globally. The technology sector drives an estimated 80% of this growth. Looking through a regional lens, **South Korea** and **Taiwan** are projected to contribute around 65% and 15%, respectively, to AxJ's earnings growth. This concentration of growth reflects the **semiconductor cycle's strength**, supported by robust demand for memory chips, AI-related components and supply-chain beneficiaries.

We remain **constructive on AxJ**, although the pace of incremental earnings upgrades could moderate due to higher-base effects. Further upside depends on factors such as AI capex cycle resilience, memory pricing and AI adoption rates. We expect **earnings growth to broaden beyond technology** as a reopening of the Strait of Hormuz in our core scenarios improves the growth outlook for oil-importing nations within the AxJ region.

— **Fook Hien Yap,** *Senior Investment Strategist*

AxJ earnings estimates have been revised sharply higher since the start of 2026, driven by the technology sector and the South Korea/Taiwan markets

Evolution of 2026 and 2027 EPS for MSCI AxJ Index since Dec-2024



Source: FactSet, Standard Chartered

Top client questions (cont'd)

Are there any re-rating and/or earnings growth catalysts for China equities, especially the Hang Seng Tech Index (HSTECH)?

Our view: We are Overweight China within AxJ on policy support, earnings recovery and potential valuation re-rating, with HSTECH offering opportunistic upside from these catalysts.

Rationale: China equities, particularly HSTECH, faced pressure in H1 2026 due to regulation headwinds and excess supply. With valuations now near oversold levels, **a near-term rebound is likely**, supported by three key H2 re-rating catalysts:

1. **AI demand:** China remains a critical backbone of the global AI hardware and digital infrastructure supply chain. The country's leadership in segments such as optical modules helps it benefit from rising global AI capex, driving earnings growth. Meanwhile, the recent inclusion of AI-native companies has further enhanced HSTECH's growth profile and thematic appeal.

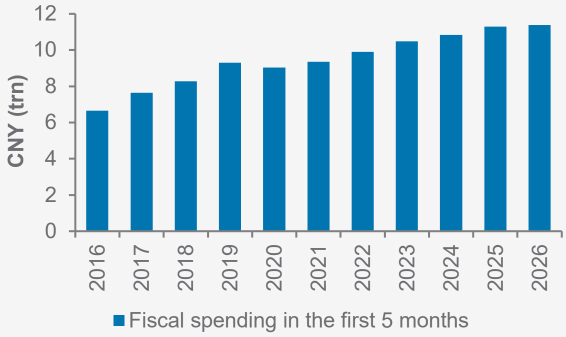
2. **Policy support:** Fiscal spending rose to CNY 11.39trn in the first five months of 2026 (+0.8% y/y); further easing in H2 should stimulate domestic growth and support earnings momentum. This, alongside Beijing's target to raise the digital economy's core industry share to 12.5% of GDP by 2030 under the 15th Five-year Plan, underpins a sustained, policy-driven AI growth cycle.

3. **Macro backdrop:** Easing overcapacity should improve pricing power, while a moderation in expectations of Fed tightening, alongside geopolitical easing and market structure improvements, provide scope for a valuation re-rating.

— **Michelle Kam, CFA**, *Investment Strategist*

Expected fiscal easing in H2 2026 likely to support China earnings momentum

China's fiscal spending trends in the first five months of each year



Source: Bloomberg, Standard Chartered

Why does the Japanese yen (JPY) remain weak even after the Bank of Japan (BoJ) rate hike?

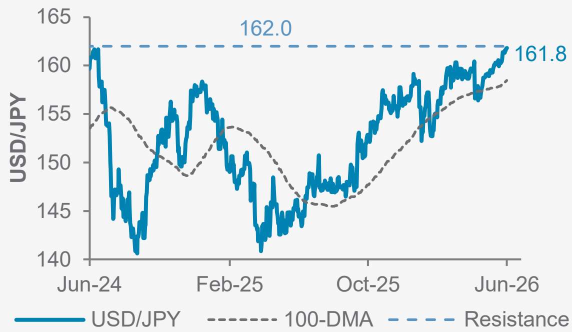
Our view: A still-wide US-Japan yield gap is putting upward pressure on USD/JPY. However, we expect limited upside from here amid intervention risk; immediate resistance at 162.

Rationale: Despite the BoJ raising its policy rate to 1.0% – its highest level since 1995 – the JPY remains soft because underlying structural forces outweigh this incremental tightening. The **US-Japan interest-rate differential remains wide**, sustaining the carry trade and keeping institutional demand for JPY-funded positions intact. Furthermore, **markets view the BoJ's 25bps pace as too gradual to close that gap meaningfully**. However, the pair is deeply overbought. We see a growing intervention risk in the very near term, with resistance at 162. Any technical correction is likely to drag the pair back towards 156 (the 200-day moving average).

— **Iris Yuen**, *Investment Strategist*

USD/JPY upside risk is likely limited

USD/JPY and technicals



Source: Bloomberg, Standard Chartered

Top client questions (cont'd)

Do you still prefer AUD bonds following the latest currency weakness? How about Gilts after the latest GBP pullback?

Our view: We remain constructively bullish on the Australian dollar (AUD) over the medium term while maintaining a modestly bearish view on the Pound Sterling (GBP).

Rationale: Australia's May consumer price index (CPI) data was mixed. **Headline inflation eased**, falling 0.7% m/m after the government cut automotive excise taxes by 50%. However, **core inflation picked up** 0.4% m/m, reinforcing a relatively **hawkish RBA** stance. We believe the AUD should be supported by resilient domestic growth, firmer core inflation and stabilising China demand, which should underpin the currency over the medium term. For AUD bonds, we retain our **tactically bullish view** with FX unhedged despite falling bond yields over the last few weeks. While the room for AUD yields to fall further has narrowed, we believe **absolute yields remain attractive** to hold at current levels.

In contrast, the **GBP is expected to face headwinds** from softer UK growth, political uncertainty and a gradual BoE easing cycle, leaving the currency biased towards modest depreciation. We are **cautious about a near-term rebound in Gilt yields**. While disinflationary relief and a potential dovish pivot by the Bank of England (BoE) are positive factors (driving lower yields), we believe political instability and fiscal uncertainties are headwinds.

— **Iris Yuen**, *Investment Strategist*
— **Cedric Lam**, *Senior Investment Strategist*

What are the implications of lower oil prices for the monetary policy outlook of Asian central banks?

Our view: Lower oil prices offer disinflationary relief for monetary policies, but unevenly across Asia. Regional risk assets and local-currency (LCY) bonds are supported.

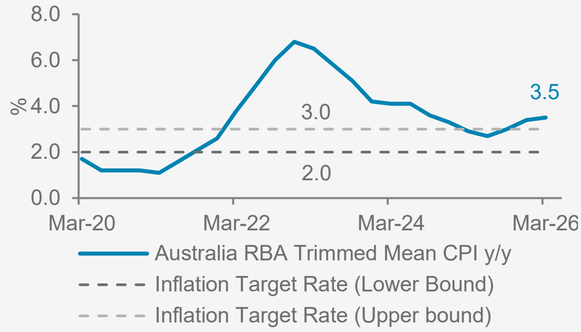
Rationale: Lower oil prices offer **disinflationary relief** for Asian central banks because most of these economies are net energy importers. However, the **relief will be uneven** across Asia, and we expect **regional monetary policies to remain divergent**. In heavy energy import-reliant economies, such as India, Thailand and the Philippines, easing energy inflation reduces balance-of-payments pressures, allowing their central banks to focus on growth. Conversely, South Korea and Singapore face demand-side inflation fuelled by the **AI boom**, suggesting a longer rate hold. We view lower energy prices as supportive of Asian risk assets and LCY bonds.

A growing reflation tail risk for Asia is the potential formation of a '**Super El Niño**,' which has an estimated 63% chance of occurring in Q4. Extreme heat and droughts could disrupt agricultural output, while heavier use of air-cooling systems could elevate energy prices.

— **Cedric Lam**, *Senior Investment Strategist*

Australia inflation remains higher than the RBA's inflation target range

Australia inflation and RBA inflation target range



Source: Standard Chartered

UK growth losing momentum

UK GDP y/y (%)

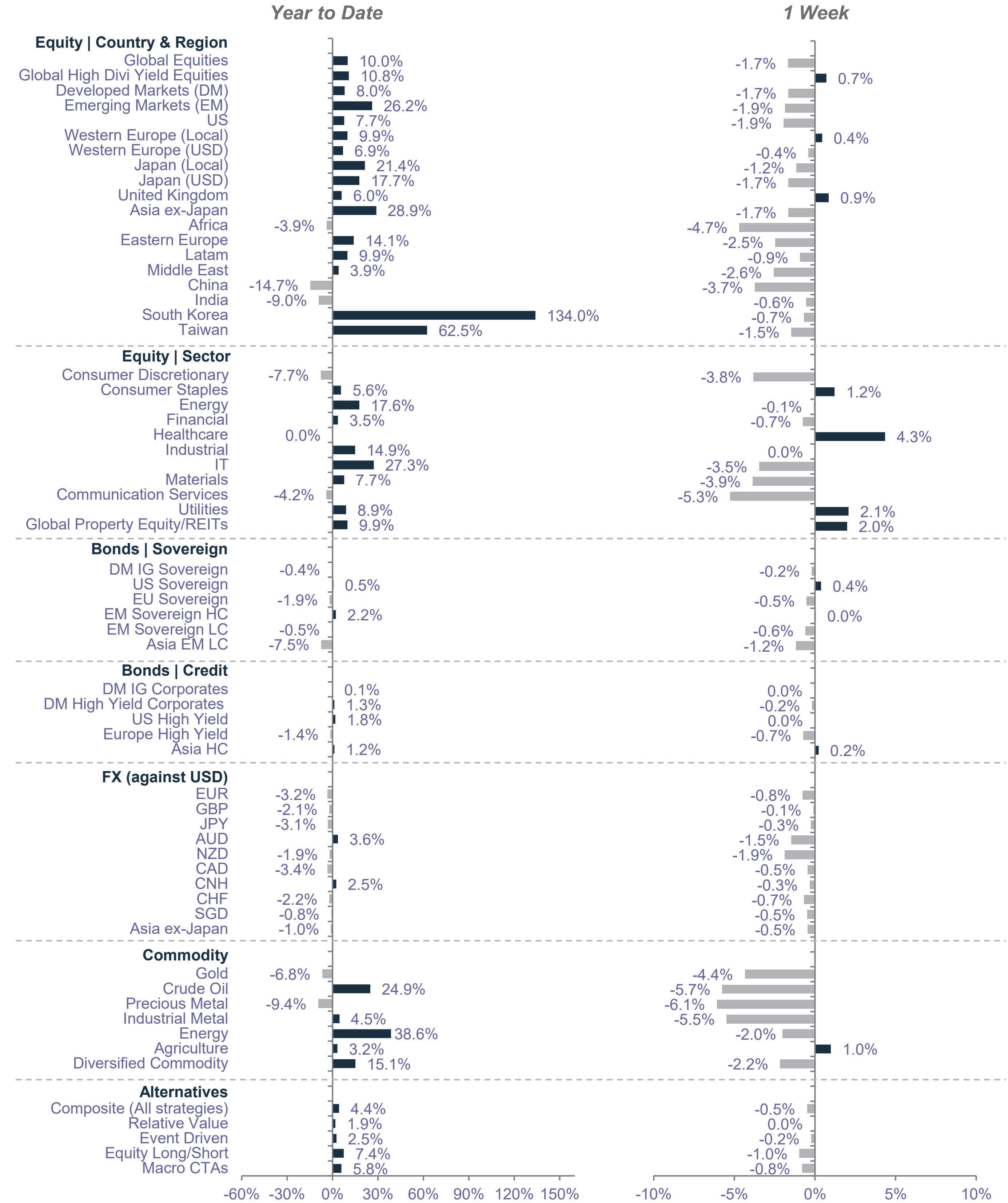
Source: Standard Chartered

Asia currencies and bonds are expected to be supported by lower oil prices

Bloomberg EM Asia local currency bond index and Asian currencies index

Source: Bloomberg, Standard Chartered

Market performance summary*



Sources: MSCI, JP Morgan, Barclays Capital, Citigroup, Dow Jones, HFRX, FTSE, Bloomberg, Standard Chartered

*Performance in USD terms unless otherwise stated, 2026 YTD performance from 31 December 2025 to 25 June 2026; 1-week period: 18 June 2026 to 25 June 2026

Our 12-month asset class views at a glance

Asset class			
Equities	▲	**Preferred Sectors**	
US	▲	US Technology	▲
Europe ex-UK	◆	US Communication	▲
UK	▼	US Healthcare	▲
Asia ex-Japan	▲	Europe ex-UK Financials	▲
Japan	◆	Europe ex-UK Industrials	▲
Other EM	◆	Japan Financials	▲
		China Communication	▲
		China Technology	▲
Bonds	▼		
Credit		**Govt**	
Asia USD	◆	Govt EM Local	◆
Corp DM HY	◆	Govt DM IG	▼
Govt EM USD	▲		
Corp DM IG	◆	**Alternatives**	◆
		Gold	▲

Source: Standard Chartered Global Investment Committee
Legend: ▲ Most preferred | ▼ Less preferred | ◆ Core holding

Economic and market calendar

	Market	Event	Period	Expected	Prior
MON	EUR	Economic Confidence	Jun	–	93.5
	EUR	Industrial Confidence	Jun	–	-8.0
	EUR	Services Confidence	Jun	–	2.2
TUE	CNH	Manufacturing PMI	Jun	50.1	50.0
	CNH	Non-manufacturing PMI	Jun	50.0	50.1
	AUD	RBA Minutes of June Policy Meeting	–	–	–
	USD	Conf. Board Consumer Confidence	Jun	94.2	93.1
	USD	JOLTS Job Openings	May	7360k	7618k
WED	EUR	CPI y/y	Jun P	–	3.2%
	EUR	CPI Core y/y	Jun P	–	2.6%
	USD	ADP Employment Change	Jun	110k	122k
	USD	ISM Manufacturing	Jun	53.8	54.0
	USD	ISM New Orders	Jun	–	56.8
THU	EUR	Unemployment Rate	May	–	6.3%
	USD	Change in Nonfarm Payrolls	Jun	130k	172k
	USD	Average Hourly Earnings y/y	Jun	3.5%	3.4%
	USD	Unemployment Rate	Jun	4.3%	4.3%
FRI/SAT					

Source: Bloomberg, Standard Chartered
Prior data are for the preceding period unless otherwise indicated. Data are % change on previous period unless otherwise indicated
P - preliminary data, F - final data, sa - seasonally adjusted, y/y - year-on-year, m/m - month-on-month

The S&P500 has next interim resistance at 7,573

Technical indicators for key markets as of 25 Jun close

Index	Spot	1st support	1st resis-tance	12m forward P/E (x)	12m forward dividend yield (%)
S&P 500	7,357	7,190	7,573	20.0	1.2
STOXX 50	6,268	6,047	6,412	15.3	3.1
FTSE 100	10,530	10,247	10,694	12.7	3.5
TOPIX	4,016	3,820	4,158	17.0	2.3
Shanghai Comp	4,120	3,974	4,221	13.9	3.0
Hang Seng	23,077	22,022	25,088	9.9	3.7
Nifty 50	24,056	23,330	24,522	18.4	1.8
MSCI Asia ex-Japan	1,168	1,100	1,220	12.1	2.1
MSCI EM	1,756	1,661	1,830	11.5	2.4
Crude oil (WTI)	71.9	61.5	89.6	na	na
Gold	4,027	3,792	4,428	na	na
UST 10Y Yield	4.39	4.31	4.53	na	na

Source: Bloomberg, Standard Chartered
Note: These short-term technical levels are based on models and may differ from a more qualitative analysis provided in other pages

Investor diversity has normalised across asset classes

Our proprietary market diversity indicators as of 25 Jun close

Level 1	Diversity	1-month trend	Fractal dimension
Global Bonds	◐	↓	1.47
Global Equities	◐	↓	1.31
Gold	●	↓	1.53
Equity			
MSCI US	◐	→	1.31
MSCI Europe	◐	↓	1.40
MSCI AC AXJ	◐	↓	1.34
Fixed Income			
DM Corp Bond	◐	↓	1.46
DM High Yield	◐	↓	1.38
EM USD	◐	↓	1.42
EM Local	●	→	1.64
Asia USD	●	↓	1.51
Currencies			
EUR/USD	●	→	1.54

Source: Bloomberg, Standard Chartered; **Fractal dimensions below 1.25 indicate extremely low market diversity/high risk of a reversal**
Legend: ● High | ◐ Low to mid | ○ Critically low

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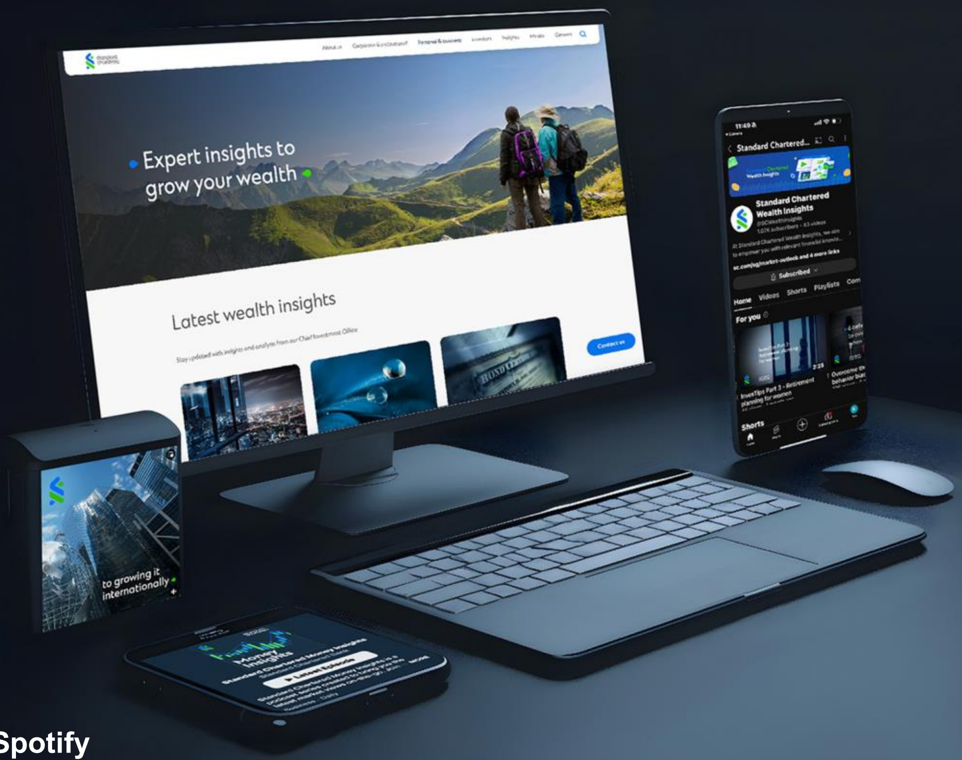

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